OAVS TGT - Current Affairs
Part 4: FINANCE & BANKING

Expected questions with answers & explanations
based on PYQ pattern analysis (2019, 2022, 2023, 2024)

Finance and banking events roughly Sep 2025 - Oct 2026, plus static finance GK.
Facts verified as of 28 Oct 2026.

37 MCQs | 3 topics | star = very high probability

PYQ Pattern Analysis - Finance & Banking

Syllabus: *Current Affairs (30 marks) - recent developments in Sports, Awards, Politics, Finance & Banking, International happenings, etc.* Across the five papers analysed, finance and banking contributed 4-8 questions per paper. The recurring question types are:

Question type	Typical example from PYQs	How to prepare
Rates & numbers	Repo rate on 4 Apr 2019; tax on digital assets (30%); GDP growth figures	Latest repo, SDF/MSF, CRR/SLR, GDP, fiscal deficit
RBI schemes & strategy	Medium-Term Strategy (Utkarsh 2.0); Banks Board Bureau to FSIB; WMA full form	Names of RBI frameworks and finance abbreviations
Bank-specific news	Paytm Payments Bank scheduled status; Punjab & Sind Bank; IndusInd Green FD	Which bank launched/collaborated/got a licence
Budget & GST	Budget 2023-24 seven priorities; 49th GST Council (18 Feb 2023)	Budget headline numbers; GST Council decisions
Payments & institutions	NPCI, SPMCIL, Army MoU with banks	UPI statistics, NPCI, regulator heads

Strategy: most questions ask a rate, a scheme/launch name, an RBI or SEBI decision or a Budget/GST fact. Prioritise starred questions and the Rapid-Revision table at the end.

Contents

1. RBI, Repo Rate & Monetary Policy (14 MCQs)
2. Union Budget 2026-27, GST & Taxation (13 MCQs)
3. Banking & Insurance Laws, UPI & Financial Regulators (10 MCQs)
4. Rapid-revision table

1. RBI, Repo Rate & Monetary Policy

Why it matters: The most repeated finance theme in the PYQs: repo rate on a given date (2019), WMA full form, RBI Medium-Term Strategy 'Utkarsh 2.0', Banks Board Bureau, scheduled-bank status (Paytm Payments Bank), RBI appointments. Learn the latest repo rate, stance and Governor.

KEY FACTS

• RBI Governor: Sanjay Malhotra (since Dec 2024; succeeded Shaktikanta Das). MPC meets 6 times a year.

• MPC 5-7 Oct 2026: repo rate raised by 25 bps from 5.25% to 5.50% (announced 7 Oct) - first hike since Feb 2023; stance changed from 'neutral' to 'calibrated tightening' (4-2 vote). SDF 5.25%, MSF and Bank Rate 5.75%; CRR 4.50%, SLR 18%, reverse repo 3.35% unchanged. FY27 projections: GDP 7.1%, CPI 5.2%. Next MPC: 2-4 Dec 2026.

• Path to 5.25%: repo cut to 5.50% (June 2025), then to 5.25% on 5 Dec 2025; held at 5.25% in 2026 until the October hike.

• Rupee hit a record low of Rs 96.97 per USD in May 2026 and traded near Rs 96.7-97 in Oct 2026. Forex reserves: record about USD 785 billion (week to 4 Sep 2026), fell to about USD 734 billion (week to 2 Oct 2026) after RBI's dollar sales.

• PYQ anchors: repo rate on 4 Apr 2019 = 6%; WMA = Ways and Means Advances; Banks Board Bureau (BBB) transformed into Financial Services Institutions Bureau (FSIB), July 2022; RBI Medium-Term Strategy 2023-25 = 'Utkarsh 2.0'; Paytm Payments Bank got Scheduled Bank status (Dec 2021); IndusInd 'Green Fixed Deposits'; SPMCIL prints currency notes.

Practice questions

Q1. ★ What is the RBI's repo rate after the October 2026 monetary policy?

(A) 5.00%
(B) 5.25%
(C) 5.50%
(D) 6.00%

Answer: (C) 5.50%. Raised 25 bps from 5.25% to 5.50% on 7 Oct 2026 - the first hike since Feb 2023.

Q2. ★ In October 2026, the RBI changed its monetary policy stance from neutral to:

(A) Withdrawal of accommodation
(B) Accommodative
(C) Calibrated tightening
(D) Expansionary

Answer: (C) Calibrated tightening. 'Calibrated tightening' (4-2 vote); near-term rate cuts are off the table.

Q3. ★ Who is the Governor of the Reserve Bank of India?

(A) Urjit Patel
(B) Michael Patra
(C) Shaktikanta Das
(D) Sanjay Malhotra

Answer: (D) Sanjay Malhotra. Sanjay Malhotra, since December 2024.

Q4. The Standing Deposit Facility (SDF) rate after the October 2026 policy is:

(A) 5.75%
(B) 5.50%
(C) 5.25%
(D) 5.00%

Answer: (C) 5.25%. SDF 5.25%; MSF and Bank Rate 5.75%.

Q5. The Marginal Standing Facility (MSF) rate and Bank Rate after the Oct 2026 policy stand at:

(A) 6.00%
(B) 5.75%
(C) 5.50%
(D) 5.25%

Answer: (B) 5.75%. Both at 5.75% (SDF = repo minus 0.25%).

Q6. The RBI's projection for India's real GDP growth in FY2026-27 (October 2026 policy) is:

(A) 6.5%
(B) 6.8%
(C) 7.1%
(D) 7.5%

Answer: (C) 7.1%. 7.1% (revised up by 40 bps); CPI inflation projected at 5.2%.

Q7. The RBI cut the repo rate to 5.25% on 5 December 2025 from:

(A) 5.00%
(B) 5.50%
(C) 5.75%
(D) 6.00%

Answer: (B) 5.50%. A 25 bps cut from 5.50%.

Q8. When is the next Monetary Policy Committee (MPC) meeting after October 2026?

(A) 1-3 January 2027
(B) 6-8 April 2027
(C) 3-5 February 2027
(D) 2-4 December 2026

Answer: (D) 2-4 December 2026. 2-4 December 2026.

Q9. The Indian rupee touched an all-time low of about _____ per US dollar in May 2026.

(A) Rs 85
(B) Rs 90
(C) Rs 96.97
(D) Rs 105

Answer: (C) Rs 96.97. Rs 96.97/USD; it stayed near that level in October 2026.

Q10. ★ What was the repo rate on 4 April 2019 (asked in OAVS TGT English 2019)?

(A) 6.5%
(B) 5.75%
(C) 6%
(D) 6.25%

Answer: (C) 6%. 6% after a 25 bps cut by the MPC.

Q11. 'WMA' in public finance stands for:

(A) Wholesale Money Account
(B) Working Money Allocation
(C) Ways and Means Advances
(D) Weighted Monetary Average

Answer: (C) Ways and Means Advances. Ways and Means Advances - temporary RBI loans to governments.

Q12. ★ The RBI's Medium-Term Strategy Framework for 2023-25 was titled:

(A) Positive Pay
(B) Utkarsh 2.0
(C) BE'A'WARE
(D) Amrit 2.0

Answer: (B) Utkarsh 2.0. 'Utkarsh 2.0' (asked in OMAV TGT Math 2024).

Q13. In July 2022, the Banks Board Bureau (BBB) was transformed into the:

(A) Banking Ombudsman
(B) Financial Stability Board
(C) Financial Services Institutions Bureau
(D) National Bank Authority

Answer: (C) Financial Services Institutions Bureau. Financial Services Institutions Bureau (FSIB).

Q14. Which payments bank received Scheduled Bank status from the RBI in December 2021 (asked in OAVS TGT English 2022)?

(A) Airtel Payments Bank
(B) Paytm Payments Bank
(C) Fino Payments Bank
(D) India Post Payments Bank

Answer: (B) Paytm Payments Bank. Paytm Payments Bank Limited.

2. Union Budget 2026-27, GST & Taxation

Why it matters: Budget and GST appear in the PYQs every year (Budget 2023-24 priorities, 49th GST Council, 30% tax on digital assets). Learn the latest Budget numbers and the 2025 GST overhaul.

KEY FACTS

• Union Budget 2026-27 (presented 1 Feb 2026 by FM Nirmala Sitharaman): fiscal deficit 4.3% of GDP (FY26: 4.4%); debt-to-GDP 55.6% (from 56.1%) with a target of 50% (+/-1%) by FY2030-31; total expenditure Rs 53.5 lakh crore; capital expenditure Rs 12.2 lakh crore (up from Rs 11.2 lakh crore); railways Rs 2.9 lakh crore.

• Budget 2026-27 highlights: no change in income-tax rates or slabs; revised-return deadline moved to 31 March; new Dankuni (West Bengal)-Surat (Gujarat) freight corridor, 7 high-speed rail corridors, 20 national waterways; VB-G RAM G allocation Rs 95,691 crore; Centre keeps 41% vertical devolution (16th Finance Commission). Economic Survey projects GDP growth 6.8-7.2% for 2026-27.

• Income-tax Act, 2025 replaced the Income-tax Act, 1961 from 1 April 2026; a single 'tax year' replaces 'previous year' and 'assessment year'. STT on futures raised from 0.02% to 0.05%, on options from 0.1% to 0.15%.

• GST 2.0: 56th GST Council meeting (3 Sep 2025) approved a two-slab structure - 5% and 18% - replacing 5/12/18/28%, plus a 40% rate for sin/luxury goods; effective 22 Sep 2025; UHT milk, paneer and Indian breads (roti, paratha) moved to nil.

• GDP: Q1 FY27 (Apr-Jun 2026) real GDP growth 7.8% (vs 6.9% a year earlier); nominal 10.3%; real GVA 8.2%; released by MoSPI on 31 Aug 2026. Tertiary sector 10%, secondary 8.6%, primary 2.9%.

• PYQ anchors: 49th GST Council meeting - 18 Feb 2023; Budget 2023-24 adopted seven priorities ('Saptarishi'); tax on transfer of digital assets (VDAs) = 30%.

Practice questions

Q15. ★ The fiscal deficit target for FY2026-27 in the Union Budget 2026-27 is:

(A) 5.1% of GDP
(B) 4.8% of GDP
(C) 4.3% of GDP
(D) 4.0% of GDP

Answer: (C) 4.3% of GDP. 4.3% of GDP, down from 4.4% in 2025-26.

Q16. ★ The capital expenditure outlay in the Union Budget 2026-27 is:

(A) Rs 10.2 lakh crore
(B) Rs 11.2 lakh crore
(C) Rs 12.2 lakh crore
(D) Rs 13.2 lakh crore

Answer: (C) Rs 12.2 lakh crore. Rs 12.2 lakh crore (up from Rs 11.2 lakh crore).

Q17. The Budget 2026-27 shifted the focus of fiscal policy towards reducing the:

(A) Trade deficit
(B) Revenue deficit
(C) Debt-to-GDP ratio
(D) Primary deficit only

Answer: (C) Debt-to-GDP ratio. Debt-to-GDP to 55.6% in FY27, aiming for 50% (+/-1%) by FY2030-31.

Q18. What did the Union Budget 2026-27 do about income-tax slabs?

(A) Raised the exemption limit to Rs 15 lakh
(B) Abolished the old regime
(C) Made no changes to rates or slabs
(D) Introduced a 35% slab

Answer: (C) Made no changes to rates or slabs. No change in rates or slabs for FY27.

Q19. ★ The Income-tax Act, 2025 replaced the Income-tax Act of 1961 with effect from:

(A) 1 April 2025
(B) 1 October 2025
(C) 1 April 2026
(D) 1 January 2027

Answer: (C) 1 April 2026. 1 April 2026; 'tax year' replaces 'previous year/assessment year'.

Q20. From 1 April 2026, the Securities Transaction Tax (STT) on futures rose from 0.02% to:

(A) 0.03%
(B) 0.05%
(C) 0.10%
(D) 0.125%

Answer: (B) 0.05%. Futures 0.05%; options from 0.1% to 0.15%.

Q21. Under the 16th Finance Commission's recommendation retained in Budget 2026-27, the states' share in central taxes is:

(A) 42%
(B) 41%
(C) 40%
(D) 33%

Answer: (B) 41%. 41% vertical devolution.

Q22. Budget 2026-27 proposes a new dedicated freight corridor between:

(A) Kolkata and Chennai
(B) Delhi and Mumbai
(C) Dankuni and Surat
(D) Ludhiana and Dankuni

Answer: (C) Dankuni and Surat. Dankuni (West Bengal) to Surat (Gujarat).

Q23. ★ Under GST 2.0, which are the two main GST slabs effective 22 September 2025?

(A) 18% and 28%
(B) 12% and 28%
(C) 5% and 18%
(D) 5% and 12%

Answer: (C) 5% and 18%. 5% and 18%, with a special 40% rate for sin goods; the 12% and 28% slabs were removed.

Q24. The GST rate restructuring was approved at the _____ meeting of the GST Council on 3 September 2025.

(A) 58th
(B) 56th
(C) 54th
(D) 49th

Answer: (B) 56th. 56th GST Council meeting, chaired by FM Sitharaman.

Q25. ★ India's real GDP grew by how much in Q1 FY2026-27 (April-June 2026)?

(A) 8.4%
(B) 7.8%
(C) 6.9%
(D) 6.5%

Answer: (B) 7.8%. 7.8% (Q1 FY26: 6.9%), released by MoSPI on 31 August 2026.

Q26. GDP data in India is released by the:

(A) NITI Aayog
(B) Ministry of Statistics and Programme Implementation (MoSPI)
(C) RBI
(D) Finance Ministry

Answer: (B) Ministry of Statistics and Programme Implementation (MoSPI). MoSPI, through the National Statistics Office.

Q27. What is the rate of tax on income from transfer of virtual digital assets in India (asked in OAVS TGT English 2022)?

(A) 10%
(B) 20%
(C) 30%
(D) 40%

Answer: (C) 30%. 30% (Budget 2022-23).

3. Banking & Insurance Laws, UPI & Financial Regulators

Why it matters: Expect questions on laws affecting banks/insurance, payments (UPI/NPCI) and heads of regulators (SEBI, RBI, IRDAI). The PYQs also asked about NPCI and bank collaborations.

KEY FACTS

• Banking Laws (Amendment) Act, 2025: 19 amendments across 5 Acts (RBI Act 1934, Banking Regulation Act 1949, SBI Act 1955, and the 1970 and 1980 Bank Nationalisation Acts); cooperative-bank directors' maximum tenure raised from 8 to 10 years; 'substantial interest' threshold raised from Rs 5 lakh to Rs 2 crore; unclaimed shares/dividends of PSBs can go to IEPF; in force 1 Aug 2025.

• Sabka Bima Sabki Raksha (Amendment of Insurance Laws) Act, 2025: raises FDI in insurance from 74% to 100% (one of Chairman/MD/CEO must be an Indian citizen); amends the Insurance Act 1938, LIC Act 1956 and IRDA Act 1999; composite licences allowed; Policyholders' Education and Protection Fund.

• UPI: record 24.51 billion transactions worth Rs 29.82 lakh crore in Aug 2026 (up 22% volume, 20% value year-on-year); 791 million transactions/day; September 2026: 24.07 billion. UPI is run by the National Payments Corporation of India (NPCI).

• Regulators: SEBI Chairman - Tuhin Kanta Pandey (11th, took charge 1 Mar 2025, 3-year term; ex-Finance Secretary). RBI Governor - Sanjay Malhotra. FM - Nirmala Sitharaman.

• Government has said there is no roadmap for fresh public sector bank mergers for now (2026); the 2019-20 mergers cut PSBs from 27 to 12.

Practice questions

Q28. ★ The Sabka Bima Sabki Raksha Act raised the FDI limit in the insurance sector from 74% to:

(A) 49%
(B) 100%
(C) 90%
(D) 80%

Answer: (B) 100%. 100%, with at least one of Chairman/MD/CEO being an Indian citizen.

Q29. Which of the following Acts was NOT amended by the Insurance Laws (Amendment) Act, 2025?

(A) Banking Regulation Act, 1949
(B) IRDA Act, 1999
(C) LIC Act, 1956
(D) Insurance Act, 1938

Answer: (A) Banking Regulation Act, 1949. The Banking Regulation Act was amended by the separate Banking Laws (Amendment) Act, 2025.

Q30. ★ Under the Banking Laws (Amendment) Act, 2025, the maximum tenure of directors (other than chairperson/whole-time) of cooperative banks was raised from 8 years to:

(A) 9 years
(B) 10 years
(C) 12 years
(D) 15 years

Answer: (B) 10 years. 10 years, aligning with the 97th Constitutional Amendment.

Q31. The Banking Laws (Amendment) Act, 2025 raised the limit of 'substantial interest' in a bank from Rs 5 lakh to:

(A) Rs 5 crore
(B) Rs 2 crore
(C) Rs 1 crore
(D) Rs 25 lakh

Answer: (B) Rs 2 crore. Rs 2 crore - unchanged since 1968 before this.

Q32. The Banking Laws (Amendment) Act, 2025 amended how many Acts?

(A) Three
(B) Four
(C) Five
(D) Seven

Answer: (C) Five. Five Acts - 19 amendments in all. It came into force on 1 August 2025.

Q33. ★ UPI transactions hit an all-time high of _____ billion in August 2026.

(A) 18.5
(B) 21.2
(C) 24.51
(D) 30.1

Answer: (C) 24.51. 24.51 billion worth Rs 29.82 lakh crore (up 22% YoY).

Q34. UPI (Unified Payments Interface) is operated by the:

(A) RBI
(B) SEBI
(C) NABARD
(D) NPCI

Answer: (D) NPCI. National Payments Corporation of India.

Q35. ★ Who is the Chairman of SEBI (the 11th Chairman)?

(A) Tuhin Kanta Pandey
(B) U K Sinha
(C) Madhabi Puri Buch
(D) Ajay Tyagi

Answer: (A) Tuhin Kanta Pandey. Tuhin Kanta Pandey, former Finance Secretary, took charge in March 2025.

Q36. In December 2022, which bank collaborated with SBI Cards and Payment Services (asked in OMAV TGT Math 2024)?

(A) Canara Bank
(B) Indian Bank
(C) Punjab & Sind Bank
(D) Bank of Baroda

Answer: (C) Punjab & Sind Bank. Punjab & Sind Bank, per the PYQ answer key.

Q37. Which institution prints India's currency notes (SPMCIL)?

(A) State Printing Mint Company of India Limited
(B) Secure Payments and Mint Council of India
(C) Special Paper and Mint Corporation of India
(D) Security Printing and Minting Corporation of India Limited

Answer: (D) Security Printing and Minting Corporation of India Limited. SPMCIL, a Government of India enterprise (asked in OMAV TGT Math 2024).

4. Rapid-Revision Table

Event	Answer
RBI Governor	**Sanjay Malhotra (since Dec 2024)**
Repo rate (7 Oct 2026)	**5.50% (hike of 25 bps from 5.25%; first hike since Feb 2023)**
Stance / SDF / MSF & Bank Rate	**Calibrated tightening / 5.25% / 5.75%**
CRR / SLR / reverse repo	**4.50% / 18% / 3.35%**
Dec 2025 policy	**Repo cut 5.50% to 5.25%**
RBI FY27 projections	**GDP 7.1%, CPI 5.2%**
Next MPC	**2-4 Dec 2026**
Rupee record low / forex reserves record	**Rs 96.97 per USD (May 2026) / about USD 785 bn (Sep 2026)**
Budget 2026-27 date	**1 Feb 2026 - FM Nirmala Sitharaman**
Fiscal deficit FY27 / debt-GDP	**4.3% of GDP / 55.6%**
Capex FY27 / total expenditure	**Rs 12.2 lakh crore / Rs 53.5 lakh crore**
Income-tax Act, 2025 in force	**1 April 2026 (replaces 1961 Act)**
STT futures / options	**0.05% / 0.15%**
GST 2.0 effective / slabs	**22 Sep 2025 / 5%, 18% (+40% sin goods); 56th Council**
Q1 FY27 GDP growth	**7.8% (MoSPI, 31 Aug 2026)**
FDI in insurance	**100% (Sabka Bima Sabki Raksha Act, 2025)**
Banking Laws (Amendment) Act 2025	**In force 1 Aug 2025; coop director tenure 10 yrs; substantial interest Rs 2 cr**
UPI record (Aug 2026)	**24.51 billion txns; Rs 29.82 lakh crore**
SEBI Chairman	**Tuhin Kanta Pandey (11th)**
PYQ: repo 4 Apr 2019 / RBI strategy 2023-25	**6% / Utkarsh 2.0**

Check before exam: the RBI repo rate after the 2-4 Dec 2026 MPC, rupee and forex-reserve levels, and the latest GST and UPI monthly figures change often - re-check them close to the exam.

Sources

• PSU Connect, 5paisa, Corp Law Updates - RBI MPC October 2026; Free Press Journal, Business Standard, Business Today - RBI December 2025 cut
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• WION, Onmanorama - GST 2.0 (56th GST Council)
• Newsonair, 5paisa - Q1 FY27 GDP (MoSPI)
• Business Standard, UKIBC, IASGyan - Banking Laws (Amendment) Act 2025 and the Sabka Bima Sabki Raksha Bill 2025
• Adda247, Free Press Journal, Business Today - UPI August 2026; rupee and forex reserves, October 2026
• Outlook Business, Onmanorama - SEBI Chairman Tuhin Kanta Pandey